

Executive summary

Biopharma deal activity strengthened in H1 2026, as licensing, M&A and IPOs gained momentum

Biopharma financing and transaction activity through H1 2026 remained constructive, with capital concentrated around later-stage assets, differentiated science and programs with more defined clinical and commercial catalysts. Venture funding improved modestly in Q2 capping off a robust first half of the year, though deal count remained below prior-cycle levels.

Large-cap biopharma continued to pursue external innovation through licensing and M&A transactions. Licensing deals remained elevated and milestone-heavy, while M&A delivered back-to-back quarters of robust activity as 33 deals were announced with values of \$1 billion or greater.

Here are a few highlights from our Q2 2026 report:

- **Venture investment:** Biopharma venture funding totaled \$16.3 billion across 235 rounds in H1 2026, with Q2 funding of \$9.2 billion and 2026 pacing toward roughly \$33 billion.
- **Biopharma licensing partnerships:** Announced R&D licensing value reached \$166.7 billion in H1 2026. China-origin assets continued to play an outsized role, representing 42% of global large-cap licensing deals with \$50 million+ upfront payments and 68% of upfront dollars in those transactions.
- **M&A:** Biopharma M&A totaled \$96 billion in upfront cash across 80 deals in H1 2026, including \$55.1 billion from 48 deals in Q2.
- **IPOs:** Biopharma IPOs raised \$5 billion across 13 offerings in H1 2026, already exceeding full-year totals from 2022 through 2025.

J.P. Morgan is committed to your success. Our relationships, our capital and our skilled team of bankers and specialists dedicated to the life sciences and healthcare sectors reflect our conviction in the pivotal contributions these clients add to their stakeholders—society, shareholders and employees alike.

Our bankers’ expertise ranges from advising companies at the earliest stage to the most graduated, complex M&A and capital markets transactions. Regardless of the size or stage of your company, we are prepared, equipped and enthusiastic about advising and enabling you to meet your strategic, financial and technical objectives.

Thank you for taking the time to read this report. We look forward to supporting you.

Kathryn McDonough
Head of Life Sciences
Innovation Economy, Commercial Banking
J.P. Morgan

Contributor
Dan Greaney, CFA
Executive Director, Life Sciences
Innovation Economy, Commercial Banking
J.P. Morgan

Parameters

Biopharma companies are defined as firms developing therapeutics and technology platforms engaged in drug discovery, clinical R&D and commercialization.

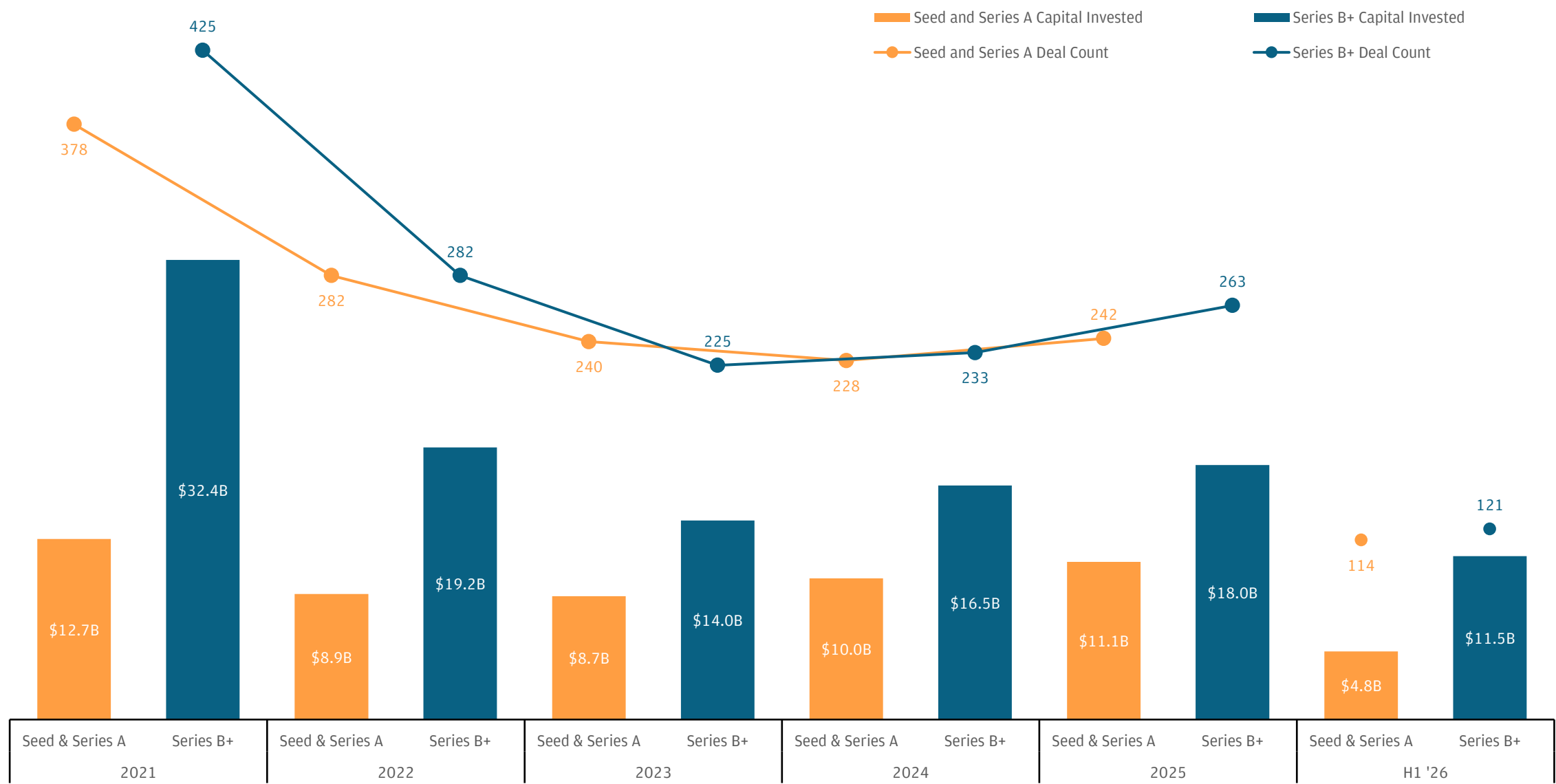
Therapy areas, development stages, modalities and deal structures are segmented per the DealForma database.

Financials are based on disclosed figures curated by DealForma. Multiple tranches of the same Series are counted as one together.

Data as of June 30, 2026

Later-stage venture rounds continued to absorb most biopharma capital in H1 2026

BIOPHARMA SEED AND SERIES A VENTURE ACTIVITY VS. SERIES B+ VENTURE ACTIVITY¹



Seed and Series A companies raised \$4.8 billion across 114 deals in H1 2026, while Series B and later rounds raised \$11.5 billion across 121 deals.

Although early-stage and later-stage deal counts were similar, later-stage rounds accounted for 71% of total deployed capital whereas in 2025, 62% of capital went to later-stage companies.

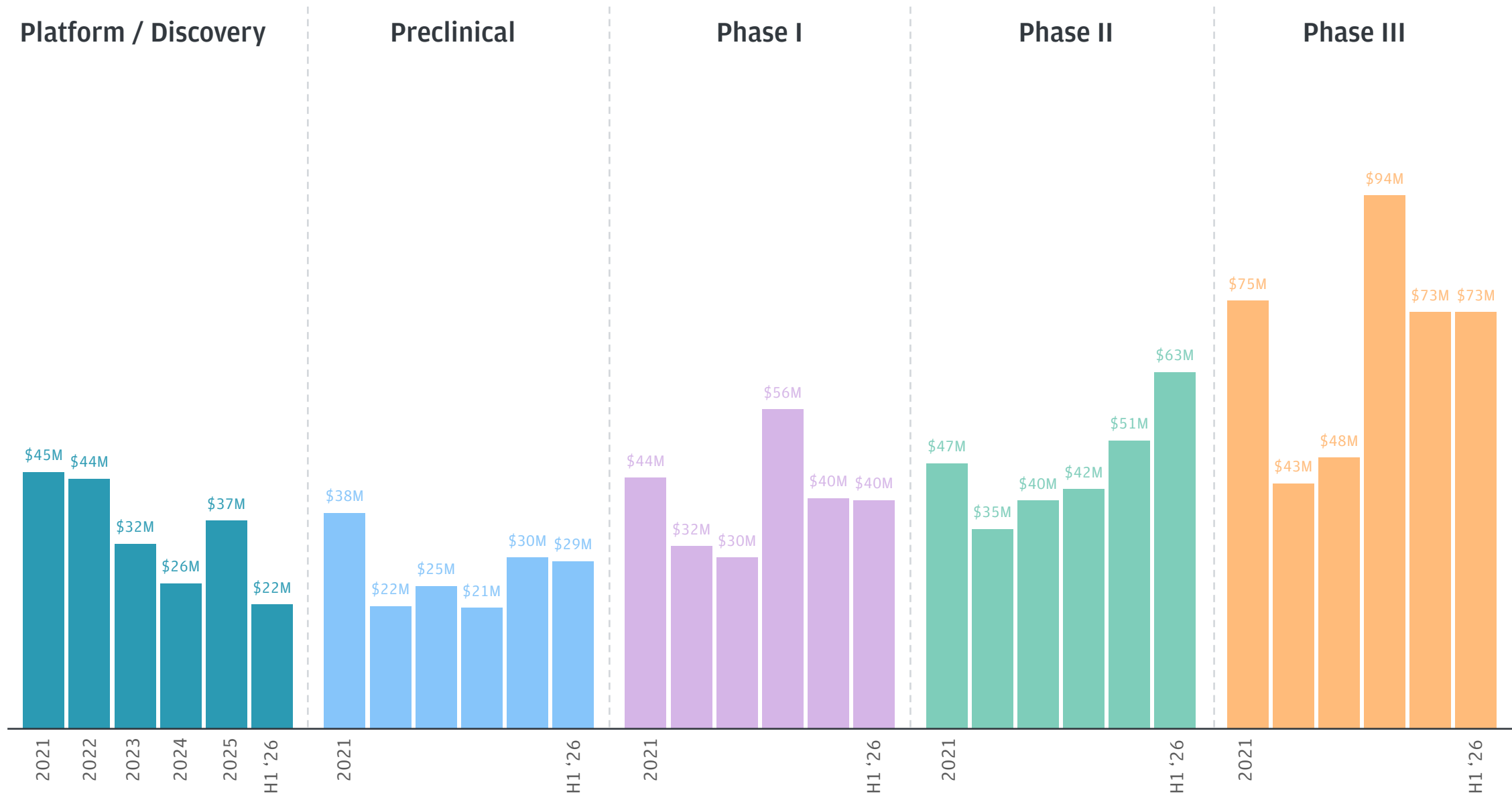
Investors continue to favor companies with established data packages, de-risked development paths and clearer near-term value inflection points.

Notable Series A financings in 2026 include Memento Medicines (\$93 million) and Tortugas Neuro (\$106 million).

Note: ¹Financials based on disclosed figures. Data through June 30, 2026.

Median round sizes remained highest for Phase II and Phase III companies in H1 2026

BIOPHARMA THERAPEUTICS AND PLATFORMS: MEDIAN VENTURE ROUND SIZE BY COMPANY STAGE AT FUNDING



Median venture round sizes in H1 2026 were \$22 million for platform/ discovery, \$29 million for preclinical, \$40 million for Phase I, \$63 million for Phase II and \$73 million for Phase III companies.

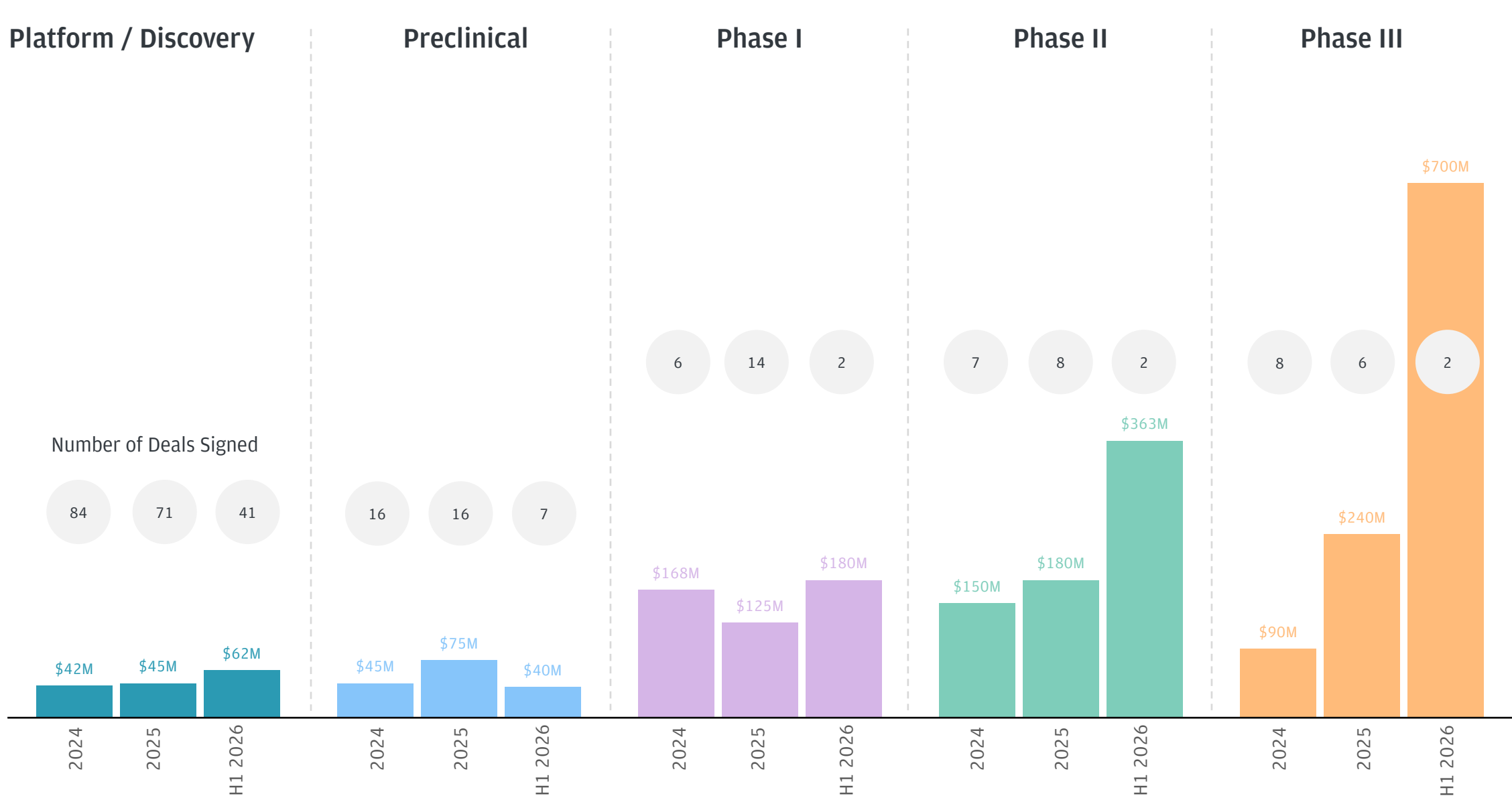
Phase II and Phase III companies continued to command the largest median financings, reflecting the increased capital needs as companies enter human clinical trials in their development cycle.

Earlier-stage companies remained more exposed to funding selectivity and more modest round sizes in aggregate, suggesting a preference for funding sizes that are more tightly correlated to early developmental milestones.

Note: ¹Financials based on disclosed figures. Data through June 30, 2026.

Big pharma paid higher upfronts for late-stage assets in H1 2026

IN-LICENSING BY BIG PHARMA: MEDIAN UPFRONT CASH & EQUITY AND NUMBER OF DEALS BY STAGE AT SIGNING¹



Median upfront cash and equity from large-cap biopharma (\$50 billion+ market cap) reached \$363 million for Phase II assets and \$700 million for Phase III assets in H1 2026, though based on limited deal counts.

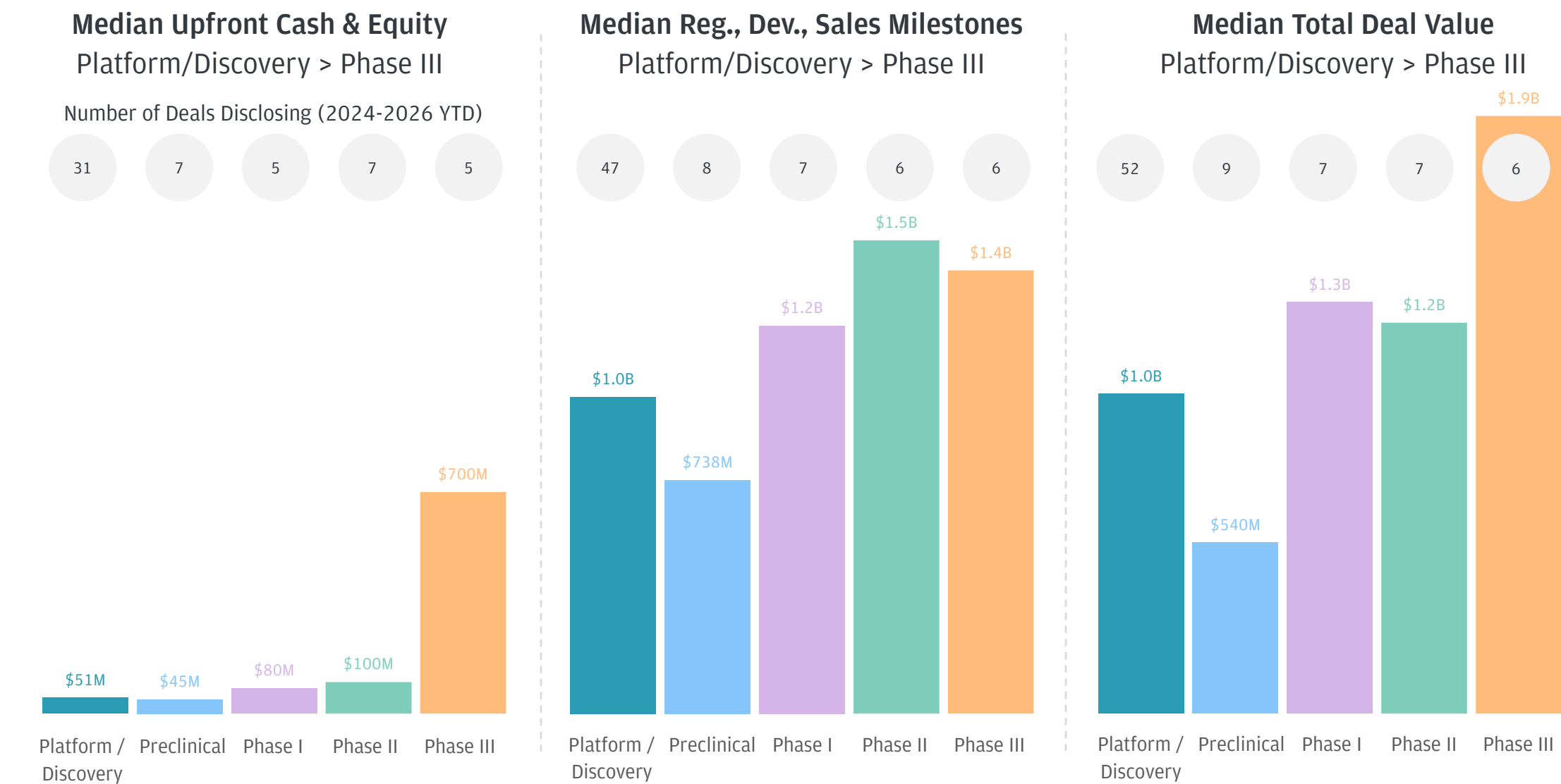
Platform and discovery-stage activity remained broad, with 41 deals and a disclosed median upfront of \$62 million, reflecting continued upstream option-building.

Preclinical median upfronts moderated, while late-stage assets continued to command premium economics as large-cap biopharma prioritized pipeline replenishment.

Note: ¹Financials based on disclosed figures. Data through June 30, 2026. Stage of lead asset in multi-asset deals.

Oncology licensing economics remained strongest for later-stage assets

IN-LICENSING BY BIG PHARMA: MEDIAN DEAL PAYMENTS AND NUMBER OF DEALS DISCLOSING VALUES BY STAGE AT SIGNING, ONCOLOGY ASSETS, 2024 TO H1 2026¹



Oncology continued to lead large-cap biopharma licensing, with the strongest economics concentrated in Phase II and Phase III assets.

Phase III oncology programs commanded the highest median upfront cash and equity at \$700 million, with median total deal value approaching \$1.9 billion.

Milestone packages remained substantial across oncology transactions, reflecting continued competition for differentiated assets with near-term commercial relevance as large pharma's need to replace revenue caused by upcoming patent cliffs filters through the market.

Note: ¹Financials based on disclosed figures. Not all deals disclose all payment terms. Data through June 30, 2026. Stage of lead asset in multi-asset deals.